

will determine the trader's latitude in the learning process. With a small amount, he has little room for error. With a larger sum, he has more time to learn. More important than the amount of money is that it not be *necessary* money. The trader should not speculate with capital needed for daily subsistence; that is, the money required for food and shelter, for school or clothing, or for any of the other normal demands of life. The capital recommended for futures trading is "risk capital": money that, if lost, would not materially affect the trader's living standards. While this precondition excludes a great many from futures trading, it still leaves the possibility open to a good many others.

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*Successful professional futures traders, as a rule, are not gamblers in the classic sense; most of the time, when gamblers try their skill at futures, they lose.*

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Will a large sum of risk capital provide a better chance at success than a small sum? Yes, to the degree that it will provide more room to learn. However, more capital may produce a false sense of security, which in the long run will impair your ability to succeed. Whether you begin with a large or small pool of risk capital, you must adjust the size of your futures position accordingly: With a small sum, you should begin trading on a very small scale; conversely, with a large sum, you may want to begin with larger positions. In either case you must pace yourself so that there will be some risk capital remaining after you have learned to trade. It will do you little good to face all the dangers and learn all the lessons if, after you graduate, you have no cash left to put your knowledge to work.

Since it takes years of study and firsthand application to become thoroughly familiar with all the principles, rules, variations, and exceptions involved for successful futures trading,